

Pursuant to California Rules of Court, rule 3.1312(a), and Code of Civil Procedure section 1019.5, subdivision (a), no further written order is necessary. The minute order adopting this tentative ruling will serve as the order of the court and service by the clerk will constitute notice of the order.

Issued By: JS on 8/24/2026.
(Judge's initials) (Date)

(49)

Tentative Ruling

Re: ***Trujillo v. Sanchez et al.***
Superior Court Case No. 25CECG03240

Hearing Date: August 26, 2026 (Dept. 503)

Motion: By Defendants to Compel Arbitration, Dismiss Class Claims,
and Stay or Dismiss Proceedings

Tentative Ruling:

To grant the motion to compel arbitration of the individual claims, including the individual PAGA claims, to dismiss the class claims, and to stay the representative PAGA claims pending arbitration of plaintiff's claims.

Explanation:

Defendants Fresno Valley SNF LLC dba Orchard Post Acute, PACS Group Inc., Rosemarie Sanchez and Patricia Knutson (collectively "Defendants") moves to compel arbitration against plaintiff Salina Trujillo ("Plaintiff").

Pursuant to California Code of Civil Procedure section 1281.2, "On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party thereto refuses to arbitrate such controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: (a) The right to compel arbitration has been waived by the petitioner; or (b) Grounds exist for the revocation of the agreement. (c) A party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact." (Civ. Proc. Code § 1281.2, paragraph breaks omitted.)

"[W]hen a petition to compel arbitration is filed and accompanied by prima facie evidence of a written agreement to arbitrate the controversy, the court itself must determine whether the agreement exists and, if any defense to its enforcement is raised, whether it is enforceable. Because the existence of the agreement is a statutory prerequisite to granting the petition, the petitioner bears the burden of proving its existence by a preponderance of the evidence. If the party opposing the petition raises a defense to enforcement - either fraud in the execution voiding the agreement, or a statutory defense of waiver or revocation (see § 1281.2, subds. (a), (b)) - that party bears the burden of producing evidence of, and proving by a preponderance of the evidence, any fact necessary to the defense." (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal. 4th 394, 413.) Thus, in ruling on a motion to compel arbitration, the court must first determine whether the parties actually agreed to arbitrate the dispute, and general principles of California contract law guide the court in making this determination. (*Mendez v. Mid-Wilshire Health Care Center* (2013) 220 Cal.App.4th 534.)

By its terms, the agreement is governed by the Federal Arbitration Act ("FAA"), 9 U.S.C. § 1, et seq. Section 2 of the FAA provides for enforcement of arbitration provisions in any contract "evidencing a transaction involving commerce." (9 U.S.C. § 2.) To determine whether there is an enforceable arbitration agreement, courts apply state law principles related to formation, revocation, and enforcement of contracts. (*Banner Entertainment, Inc. v. Alchemy Filmworks, Inc.* (1998) 62 Cal.App.4th 348, 357.) Moving defendants are not required to submit evidence of impact on interstate commerce to establish FAA preemption. (See *Valencia v. Smyth* (2010) 185 Cal.App.4th 153, 157; *Cronus Investments, Inc. v. Concierge Services* (2005) 35 Cal.4th 376, 387, 394.) Plaintiff does not challenge the governance of the FAA.

Here, Defendants has met the burden of establishing the existence of an agreement to arbitrate the claims raised in Plaintiff's Complaint. Defendants present verified copies of both a physically signed and digitally signed arbitration agreement by Plaintiff. (Sanchez Decl., ¶¶ 17-18, Exhs. A & B.) The agreement covers "all disputes that might arise out of or be related in any way to my application for employment and/or employment by" Defendants. (*Id.*, at Exh. A & B, ¶ 1.) The agreement includes individual claims under the California Private Attorneys General Act ("PAGA"). (*Ibid.*) Thus, the agreement clearly applies to Plaintiff's claims.

Plaintiff admits to signing the arbitration agreement. (Trujillo Decl., ¶ 3.) However, Plaintiff argues the agreement is not enforceable due to procedural and substantive unconscionability.

Procedural Unconscionability

The doctrine of unconscionability has " 'both a "procedural" and a "substantive" element,' the former focusing on ' "oppression" ' or ' "surprise" ' due to unequal bargaining power, the latter on ' "overly harsh" ' or ' "one-sided" ' results.' (*Armendariz v. Foundation Health Psychcare Services* (2000) 24 Cal.4th 83, 114.) To invalidate an arbitration agreement, the court must find both procedural and substantive unconscionability. (*Id.* at p. 122; *Stirlen v. Supercuts, Inc.* (1997) 51 Cal.App.4th 1519, 1533; *Mercurio v. Superior Court* (2002) 96 Cal.App.4th 167, 174.)

There is some degree of procedural unconscionability where, as here, the contract was drafted by the employer, preprinted for Plaintiff's signature, and required the signature before allowing an employee to work for them. (Sanchez Decl., ¶ 9.) As such it can be considered a contract of adhesion. However, courts frequently enforce employment arbitration agreements that are contracts of adhesion, as long as they are not also substantively unconscionable. "Arbitration clauses in employment contracts have been upheld despite claims that the clauses were unconscionable because they were presented as part of an adhesion contract on a take-it-or-leave-it basis. In finding the arbitration clause in *Lagatree* was not unconscionable, the court noted that, 'as *Gilmer* and its progeny make clear, the compulsory nature of a predispute arbitration agreement does not render the agreement unenforceable on grounds of coercion or for lack of voluntariness.'" (*Giuliano v. Inland Empire Personnel, Inc.* (2007) 149 Cal.App.4th 1276, 1292, citations omitted.)

The evidence presented by plaintiff supports minimal procedural unconscionability.

Substantive Unconscionability

Mandatory arbitration clauses in employment contracts are enforceable if they provide essential fairness to the employee. (*Armendariz v. Foundation Health Psychcare Services, Inc.*, *supra*, 24 Cal.4th at pp. 90-91; see also *24 Hour Fitness v. Superior Court* (1998) 66 Cal.App.4th 1199, 1212 [arbitration clause in employee handbook was not unconscionable where it provided all parties with substantially same rights and remedies].) In the employment context, an agreement must include the following five minimum requirements designed to provide necessary safeguards to protect unwaivable statutory rights where important public policies are implicated: 1) a neutral arbitrator; 2) adequate discovery; 3) a written, reasoned, opinion from the arbitrator; 4) identical types of relief as available in a judicial forum; and 5) that undue costs of arbitration will not be placed on the employee. (*Armendariz, supra*, 24 Cal.4th at p. 102.)

Plaintiff raises multiple arguments that the arbitration agreement fails to meet these conditions. First, Plaintiff argues the arbitration agreement raises unnecessary hurdles to filing claims against Defendants by requiring Plaintiff to send written notice to the human resources department at a specific physical address. (Trujillo Decl., Exh. A, ¶ 5.) The requirement is the equivalent of service in the normal court process. The clause serves to inform Defendants that Plaintiff intends to bring a claim under the arbitration agreement and is neither a hurdle nor unnecessary.

Second, Plaintiff argues the agreement creates an ambiguity about the ability to rely upon fee-shifting statutes. The agreement states in pertinent part, “[Defendants] and I will be responsible for our own costs and for our attorneys’ fees should we choose to be represented by counsel, unless the arbitrator shifts one party’s costs and attorneys’ fees to the other party in accordance with applicable law.” (*Id.*, Exh. A, ¶ 7.) Plaintiff is incorrect as the provision is a restatement of the standard rule that each party is expected to bear its own fees in the absence of an applicable statute or an attorney fees provision in a valid contract. (Code Civ. Proc., § 1021.)

Third, Plaintiff argues the clauses of the arbitration agreement lack mutuality. However, most of the clauses within the arbitration agreement apply to both Defendants and Plaintiff equally. The clauses that do not apply equally are either there to meet legal requirements, like the clauses that require the company to pay the arbitrator’s fees and other costs, or do not make sense within a mutuality context, like the clause laying out how notice to Defendants is to be done under the arbitration agreement. Therefore the clauses under the arbitration agreement do have mutuality.

Finally, plaintiff contends that the arbitration clause is unconscionable because it contains a class action. However, courts have found that class action waivers in arbitration clauses are not invalid or unconscionable. (*Sanchez v. Valencia Holdings Co., LLC* (2015) 61 Cal.App.4th 899, 923.) Thus, the existence of a class action waiver in the agreement does not render it unconscionable. Separately, the California Supreme Court has found that waivers of PAGA representative actions in employee arbitration agreements are unenforceable. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014)

59 Cal.4th 348, 383-384, abrogated on other grounds in *Viking River Cruises, Inc. v. Moriana* (2022) 142 S.Ct. 1906.) Thus to the extent the class action waiver might extend to the representative PAGA action, the waiver is prohibited by controlling law.

Defendants have met their burden of demonstrating the existence of a valid arbitration agreement covering the claims of Plaintiff's complaint. Plaintiff has not met her burden of showing that the agreement is unconscionable. (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 413.) Accordingly, the motion to compel arbitration is granted, the class claims dismissed, and the representative PAGA claim is stayed until the arbitration is complete.

Pursuant to California Rules of Court, rule 3.1312(a), and Code of Civil Procedure section 1019.5, subdivision (a), no further written order is necessary. The minute order adopting this tentative ruling will serve as the order of the court and service by the clerk will constitute notice of the order.

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